Raghunath was tremendously influential in foreign policy-making (given the political turmoil of the mid-1990s when no single party formed a stable government). He played a key role in undercutting the conciliatory approach in 1997 to influence policy change by mobilising opinion in wake of the Taliban's ascendance, which had come as a surprise to India. Nonetheless, according to the media reports, multiple sources within the MEA (barring Raghunath) gave two reasons why the Taliban should be engaged. Firstly, the Taliban wanted international recognition and was not sure for how long non-Pashtuns would accept their domination. Secondly, 'an influential section within the Taliban is said to be deeply suspicious of Pakistan'.[140] Reflecting India's understanding of political nuances within the Taliban early in the civil war, a strong constituency within the MEA sought political recognition for the Taliban, if not diplomatic recognition. Allegedly, this was India's 'uniform recognition behavior' towards governments of 'disputed legitimacy' until the 1971 India-Pakistan War or the Bangladesh Liberation War.[141] Raghunath disagreed with the notion that in international affairs one must engage with all. However, while the merits of engagement or lack thereof can be debated, Raghunath's claim that there was 'no disagreement' over the question of engagement with the Taliban does not stand up to rigorous examination of multiple sources.[142]

An intense dialogue between the conciliators and their detractors in early 1997 was reflective in EAM (soon to be PM) Gujral's shifting gears on the Taliban question. Having called it 'obscurantist' at the Lok Sabha in September 1996, Gujral's response to a media question on whether the Taliban should be resisted in March 1997, was: 'It is not for me to say so. We are neither a party in the war in Afghanistan, nor would we like to be.'[143] Not only this, Gujral was actively portraying India as a non-player in Afghanistan:

> Let us keep in mind that India is not involved in Afghanistan. But we are concerned about what's happening there. Our policy is in conformity with the UN policy. We believe it's their own problem and there should be no outside intervention. And the Taliban are an outside intervention—the support to the Taliban, I mean.[144]

The statement reflects the dominant Indian view of the Taliban as Pakistan's creation, but there was more to it. In the same interview Gujral stated that India 'will go more than half-way to make its neighbours feel secure', including Pakistan